

CA FOUNDATION — BUSINESS LAWS

Complete 7-Chapter Offline Master Study Guide & Examiner Keyword Blueprint

This master study guide covers all 7 syllabus chapters, 21 topics, legal definitions, statutory definition breakdowns, examiner keywords, landmark case laws, and practical examples in simple language for rapid revision.

Chapter 1: INDIAN REGULATORY FRAMEWORK

Overview of legal system, sources of law, court structures, and legislative processes in India.

Topic 1.1: Sources of Law & Legal System in India

Deep Learning Overview:

Indian law originates from primary sources: the Constitution of India (Grundnorm), Statutory Law (Acts passed by Parliament & State Legislatures), Judicial Precedents (Stare Decisis), Customary Law, and Personal Laws. Article 13 makes the Constitution supreme, rendering inconsistent statutes void.

Statutory Definition Breakdown:

- "Ordinance, order, bye-law, ~~includes secondary and delegated~~ legislations enacted by executive administrative bodies.
- "custom or usage" referring to unwritten traditions accepted by community as binding legal norms.
- "having the force of law" — legally enforceable by state authority and recognized by courts.

Statutory Exceptions & Caveats:

- Customs that are immoral, unreasonable, or opposed to public policy are void.
- Judicial precedents of a High Court are persuasive (not binding) on equal benches of other High Courts.

Q: What are the primary sources of law in India?

[Ref: Indian Constitution Article 13]

Ans: Primary sources of Indian law include the Constitution of India, Statutes (Acts of Parliament and State Legislatures), Precedents (judicial decisions), Customs, and Personal Laws.

Examiner Keywords: [Constitution of India] [statutes and legislation] [judicial precedents] [customs and usages]

Landmark Case: Kesavananda Bharati v. State of Kerala — "Supreme Court affirmed supremacy of the Constitution and established the Basic Structure Doctrine"

Topic 1.2: Hierarchy of Courts & Legislative Process

Deep Learning Overview:

India follows a unified judicial hierarchy. Supreme Court of India is the highest constitutional court (Article 124), followed by High Courts in states (Article 214), District/Sessions Courts, and Subordinate Courts. Statutes are passed through 3 readings in both Houses of Parliament followed by Presidential Assent under Article 111.

Statutory Definition Breakdown:

- "court of record" — proceedings and decisions are preserved as authoritative legal precedents.
- "all powers of such court" — refers to the constitutional jurisdiction to enforce compliance nationwide.
- "power to punish for contempt" — refers to the power to punish disobedience of its decrees or scandalizing the judicial system.

Statutory Exceptions & Caveats:

- Money Bills (Article 110) can only originate in Lok Sabha; Rajya Sabha cannot reject or amend them.
- Specialized statutory tribunals (NCLT, ITAT) have jurisdiction limited strictly to their governing enactments.

Q: What is the Supreme Court's status as a 'Court of Record'?

[Ref: Article 129 & 141, Constitution of India]

Ans: As a Court of Record under Article 129, Supreme Court judgments serve as binding precedents for all lower courts and it possesses inherent power to punish for contempt.

Examiner Keywords: [court of record] [Article 129] [binding precedent Article 141] [contempt powers]

Landmark Case: Bengal Immunity Co. v. State of Bihar — "Supreme Court decisions bind all subordinate tribunals and High Courts across India."

Chapter 2: THE INDIAN CONTRACT ACT, 1872

General principles of contract law, essential elements, performance, breach, indemnity, bailment, and agency.

Topic 2.1: Nature of Contracts**Deep Learning Overview:**

A contract under Section 2(h) is an agreement enforceable by law. Section 10 mandates essential elements: offer and acceptance, intention to create legal relations, free consent, competent parties, lawful consideration, and lawful object.

Statutory Definition Breakdown:

- **"All agreements are contracts"** — Every contract starts as an agreement, but only those meeting Sec 10 criteria become legally binding.
- **"free consent of parties"** — Parties agree voluntarily without coercion, undue influence, fraud, misrepresentation, or mistake.
- **"competent to contract"** — Parties must be of sound mind, major (18+), and not disqualified by law.
- **"lawful consideration"** — What is exchanged and the purpose must be legal and not opposed to public policy.

Statutory Exceptions & Caveats:

- Domestic and social agreements are presumed NOT to create legal relations (Balfour v. Balfour).
- Expressly void agreements (Sec 24–30) cannot become contracts even if all Sec 10 elements exist.

Q: What are the essential elements of a valid contract under Section 10?

[Ref: Section 10, Indian Contract Act, 1872]

Ans: All agreements are contracts if made by free consent of parties competent to contract, for lawful consideration and object, and not expressly declared void.

Examiner Keywords: [offer and acceptance] [intention to create legal relation] [free consent] [capacity of parties] [lawful consideration and object]

Landmark Case: Balfour v. Balfour (1919) — "Domestic agreements lack legal intention and do not form valid contracts."

Topic 2.2: Consideration**Deep Learning Overview:**

Consideration under Sec 2(d) is the price paid for a promise. Rules: Must move at desire of promisor, may move from promisee or third party (Chinnaya v. Ramayya), can be past, present, or future, must be real (not illusory), need not be adequate.

Statutory Definition Breakdown:

- **"at the desire of the promisor"** — The act must be requested by the promisor, not done voluntarily or at a third party's request.
- **"promisee or any other person"** — Consideration can move from a third party (stranger to consideration), establishing English vs Indian distinction.
- **"has done / does / promises to do"** — Consideration can be past (already completed), present (executed), or future (executory).

Statutory Exceptions & Caveats:

- Natural Love & Affection (Sec 25(1)): Written and registered agreement between near relatives is valid without consideration.
- Past Voluntary Services (Sec 25(2)) and Promise to Pay Time-Barred Debt (Sec 25(3)) are enforceable without consideration.

Q: What is 'Consideration' under Section 2(d)?

[Ref: Section 2(d), Indian Contract Act, 1872]

Ans: When at the desire of promisor, promisee or any other person has done or abstained from doing, or does or promises to do something — such act/abstinence is consideration.

Examiner Keywords: [at desire of promisor] [promisee or any other person] [act, abstinence, or promise] [privity of consideration]

Landmark Case: Chinnaya v. Ramayya (1882) — "Consideration can move from a third party (stranger to consideration)."

Topic 2.3: Other Essential Elements of a Contract**Deep Learning Overview:**

Covers Capacity to Contract (Minors under Sec 11, unsound mind, disqualified persons), Free Consent (Coercion Sec 15, Undue Influence Sec 16, Fraud Sec 17, Misrepresentation Sec 18, Mistake Sec 20-22), and Legality of Object (Sec 23).

Statutory Definition Breakdown:

- "not caused by coercion" — committing of an act forbidden by IPC (Sec 15).
- "undue influence" — position used to obtain unfair advantage (Sec 16).
- "fraud / misrepresentation" — intentional deception (fraud) or innocent false statement (misrepresentation).

Statutory Exceptions & Caveats:

- Minor's contract is void ab initio (Mohori Bibee), but minor can be beneficiary, partner for profits (Sec 30), or liable for necessities (Sec 68).
- Bilateral mistake of fact makes agreement void (Sec 20); unilateral mistake generally does not render contract void (Sec 22).

Q: What is the legal effect of an agreement entered into by a Minor?

[Ref: Section 11 & Section 68, Indian Contract Act, 1872]

Ans: Agreement with minor is void ab initio. Cannot be ratified upon majority, no estoppel applies, minor cannot be declared insolvent, but minor can be a beneficiary.

Examiner Keywords: [void ab initio] [no ratification on majority] [no estoppel against minor] [beneficiary status allowed] [necessities under Sec 68]

Landmark Case: Mohori Bibee v. Dharmodas Ghose (1903) — "Privy Council ruled minor's agreement strictly void and unenforceable."

Topic 2.4: Performance of Contract**Deep Learning Overview:**

Parties must perform or offer to perform promises (Sec 37). Performance can be actual or attempted (tender of performance Sec 38). Joint promisors are jointly and severally liable (Sec 42-44). Time is of essence when specified or implied by nature of business (Sec 55).

Statutory Definition Breakdown:

- "must perform or offer to perform" — valid tender discharges contract obligation.
- "unless dispensed with" — refers to legal excuses like novation, frustration, or waiver.

Statutory Exceptions & Caveats:

- Supervening Impossibility / Frustration (Sec 56): Contract becomes void if performance becomes unlawful or physically impossible after formation.
- Release of one joint promisor by promisee does not discharge other co-promisors (Sec 44).

Q: What are the rules regarding Joint Promisors under Sections 42-44?

[Ref: Section 42, 43 & 44, Indian Contract Act, 1872]

Ans: Joint promisors must jointly fulfill promise. Promisee can compel any ONE joint promisor to perform whole promise, who can then claim contribution from co-promisors.

Examiner Keywords: [joint and several liability] [right to compel any one promisor] [equal contribution to loss] [release of one joint promisor]

Landmark Case: Devendra Basu v. Satya Charan — "Release of one joint promisor does not release him from liability to co-promisors."

Topic 2.5: Breach of Contract and Remedies

Deep Learning Overview:

Breach occurs when a party fails to fulfill obligations without legal excuse. Can be Anticipatory (before due date) or Actual (on due date). Remedies: Damages (Sec 73), Rescission, Injunction, Quantum Meruit, Specific Performance.

Statutory Definition Breakdown:

- **"party who suffers"** innocent party entitled to monetary restitution.
- **"compensation for loss"** Ordinary damages arising naturally in usual course of things.

Statutory Exceptions & Caveats:

- Hadley v. Baxendale Rule: Special damages are recoverable ONLY if special circumstances were communicated at time of contract formation.
- Aggrieved party has a legal duty to mitigate damages; cannot recover losses avoidable by reasonable action.

Q: What are the rules for measuring Damages for Breach of Contract in Hadley v. Baxendale?

[Ref: Section 73, Indian Contract Act, 1872]

Ans: Aggrieved party gets ordinary damages arising naturally in usual course. Special damages (loss of profit) are recoverable ONLY if special circumstances were communicated at contract formation.

Examiner Keywords: [ordinary damages] [special damages] [remoteness of damage] [duty to mitigate loss] [Hadley v. Baxendale rule]

Landmark Case: Hadley v. Baxendale (1854) — "Delayed mill shaft delivery loss of profit was unrecoverable as carrier was not informed mill was stopped"

Topic 2.6: Contingent and Quasi Contracts

Deep Learning Overview:

Contingent Contract (Sec 31): Contract to do or not do something if a collateral event happens or does not happen. Quasi Contract (Sec 68-72): Obligations created by law based on doctrine of unjust enrichment without formal agreement.

Statutory Definition Breakdown:

- **"collateral event"** future event independent of performance of the main contract promise.
- **"does or does not happen"** depends strictly upon occurrence or non-occurrence of specified event.

Statutory Exceptions & Caveats:

- Contingent contract upon impossible event is void from beginning (Sec 36).
- Quasi-contractual reimbursement under Sec 69 requires claimant to have a legal interest in paying the money.

Q: Distinguish between Contingent Contract and Quasi Contract.

[Ref: Section 31 & Section 68-72, Indian Contract Act, 1872]

Ans: Contingent contract is a conditional contract based on a collateral future event (Sec 31). Quasi contract is an obligation imposed by law to prevent unjust enrichment (Sec 68-72).

Examiner Keywords: [collateral event] [unjust enrichment] [impossibility of event] [quantum meruit]

Landmark Case: State of West Bengal v. B.K. Mondal — "Government enjoying benefit of non-gratuitous construction work bound to compensate under"

Topic 2.7: Contract of Indemnity and Guarantee

Deep Learning Overview:

Indemnity (Sec 124): Contract saving one party from loss caused by promisor or third party (2 parties, 1 contract). Guarantee (Sec 126): Contract to perform promise or discharge liability of third party in case of default (3 parties, 3 contracts). Surety liability is co-extensive with principal debtor (Sec 128).

Statutory Definition Breakdown:

- **"perform promise or discharge liability"** Surety is bound to perform only if primary debtor fails.
- **"third person in case of default"** Establishes secondary liability of surety.

Statutory Exceptions & Caveats:

- Surety is discharged if creditor varies contract terms without surety consent (Sec 133) or releases principal debtor (Sec 134).
- Contract of indemnity does not cover losses caused by natural disasters unless specifically insured.

Q: Distinguish between Contract of Indemnity (Sec 124) and Contract of Guarantee (Sec 126).

[Ref: Section 124 & Section 126, Indian Contract Act, 1872]

Ans: Indemnity is 2-party contract saving one from loss. Guarantee is 3-party contract (Creditor, Debtor, Surety) to discharge third party default.

Examiner Keywords: [2 parties vs 3 parties] [primary liability vs secondary liability] [one contract vs three contracts] [right to sue third party]

Landmark Case: Gajanan Moreshwar v. Moreshwar Madan — "Indemnified party can compel indemnifier to pay once liability becomes absolute."

Topic 2.8: Bailment and Pledge**Deep Learning Overview:**

Bailment (Sec 148): Delivery of goods by one person to another for some purpose upon contract to return or dispose of. Duties of Bailee: Take reasonable care (Sec 151), not make unauthorized use (Sec 154). Pledge (Sec 172): Bailment of goods as security for payment of debt.

Statutory Definition Breakdown:

- "delivery of goods" means possession (actual or constructive) without transferring ownership.
- "for some purpose" means delivered for repair, custody, carriage, or pawn.
- "returned or disposed of" means must be returned in original or altered form.

Statutory Exceptions & Caveats:

- Finder of lost goods (Sec 168) has right of lien and can sell goods if owner cannot be found or goods are perishable/costs exceed 2/3 value.
- Pledge by mercantile agent (Sec 178) is valid even without owner authorization if acting in ordinary course of business in good faith.

Q: What is a Pledge and what are the rights of a Pawnee?

[Ref: Section 172 to 176, Indian Contract Act, 1872]

Ans: Pledge (Sec 172) is bailment of goods as security for debt payment. Pawnee rights: Right of retainer (Sec 173), extraordinary expenses (Sec 175), right to sell goods on default after notice (Sec 176).

Examiner Keywords: [bailment as security] [right of retainer] [notice before sale] [pledge by mercantile agent]

Landmark Case: Lallan Prasad v. Rahmat Ali — "Pawnee cannot sue for debt if he has put it out of his power to redeliver pledged goods."

Topic 2.9: Agency**Deep Learning Overview:**

Agency (Sec 182): Relation between Principal and Agent where agent acts on behalf of principal with third parties. Creation: Express, Implied, Ratification (Sec 196), Estoppel, Necessity. Principle: 'Qui facit per alium facit per se' (He who acts through another acts himself).

Statutory Definition Breakdown:

- "employed to do" means authorized to represent principal in legal transactions.
- "represent another" means creating legal relations between principal and third parties.

Statutory Exceptions & Caveats:

- Agent cannot delegate authority ('Delegatus non potest delegare') unless authorized by custom or necessity (Sec 190).
- Irrevocable Agency (Sec 202): Agency coupled with interest cannot be terminated to prejudice of agent's interest.

Q: What is the Doctrine of Ratification in Agency under Section 196?

[Ref: Section 196 to 200, Indian Contract Act, 1872]

Ans: Where acts are done by one person on behalf of another without his knowledge or authority, the principal may elect to ratify or disown such acts. Ratification relates back to time of act.

Examiner Keywords: [ratification relates back] [express or implied ratification] [full knowledge of facts] [no injury to third party]

Landmark Case: Bolton Partners v. Lambert — "Ratification relates back to original date of contract, defeating intermediate revocation."

Chapter 3: THE SALE OF GOODS ACT, 1930

Contracts of sale, conditions & warranties, transfer of ownership, and rights of unpaid seller.

Topic 3.1: Formation of Contract of Sale

Deep Learning Overview:

Contract of Sale (Sec 4) includes Sale (immediate transfer of property) and Agreement to Sell (future transfer). Goods (Sec 2(7)): Existing, Future, Contingent. Price (Sec 9-10) must be money consideration.

Statutory Definition Breakdown:

- "seller transfers or agrees to transfer" Sale from executory Agreement to Sell.
- "property in goods" Ownership in goods, not merely possession.
- "for a price" Consideration must be monetary; pure exchange/barter is excluded.

Statutory Exceptions & Caveats:

- If goods perish before sale without fault of seller or buyer, contract is void (Sec 7).
- Ascertained vs Unascertained goods: Property passes only when goods are ascertained and appropriated to contract (Sec 18).

Q: Distinguish between a 'Sale' and an 'Agreement to Sell' under Section 4.

[Ref: Section 4, Sale of Goods Act, 1930]

Ans: In Sale, ownership passes immediately to buyer (executed). In Agreement to Sell, ownership passes at a future time/condition (executory).

Examiner Keywords: [executed vs executory] [transfer of risk] [jus in rem vs jus in personam] [remedy for breach (price vs damages)]

Landmark Case: Lee v. Butler — "Binding obligation to buy under hire-purchase constitutes agreement to sell."

Topic 3.2: Conditions and Warranties

Deep Learning Overview:

Condition (Sec 12(2)): Stipulation essential to main purpose of contract; breach gives right to repudiate contract and claim damages. Warranty (Sec 12(3)): Stipulation collateral to main purpose; breach gives right to damages only. Implied conditions: Title, Description, Sample, Quality/Fitness (Sec 16). Caveat Emptor applies except under Sec 16 exceptions.

Statutory Definition Breakdown:

- "stipulation essential to main purpose of contract."
- "treat contract as repudiated" Buyer can reject goods and claim full refund plus damages.

Statutory Exceptions & Caveats:

- Breach of condition can be treated as breach of warranty by buyer voluntarily or compulsory under Sec 13.
- Caveat Emptor exception (Sec 16(1)): Buyer relies on seller skill/judgment and goods are of seller's business description.

Q: What is the doctrine of 'Caveat Emptor' and its major statutory exceptions?

[Ref: Section 16, Sale of Goods Act, 1930]

Ans: 'Let the buyer beware.' Seller not bound to disclose defects. Exceptions: Fitness for buyer's purpose (Sec 16(1)), Merchantable quality (Sec 16(2)), Sale by description/sample, Fraud.

Examiner Keywords: [let the buyer beware] [reliance on seller skill] [merchantable quality] [sale by description and sample]

Landmark Case: Priest v. Last & Grant v. Australian Knitting Mills — "Purchaser of hot water bottle injured by burst bottle recovered damages under implied warranty."

Topic 3.3: Transfer of Ownership and Delivery of Goods

Deep Learning Overview:

Risk passes with property (Sec 26: 'Risk follows ownership'). Rules for transfer of property: Specific goods in deliverable state (Sec 19-20), Unascertained goods (Sec 23 unconditional appropriation). Rule of 'Nemo dat quod non habet' (Sec 27: No one can transfer better title than he himself has).

Q>Yé Statutory Definition Breakdown:

- **"risk remains at seller's risk unless it is attached to legal ownership, not physical possession.**
- **"whether delivery has been made or not still holds" Physical custody, buyer bears risk if property passed.**

&p Statutory Exceptions & Caveats:

- Nemo dat exceptions: Sale by Mercantile Agent (Sec 27), Sale by Joint Owner (Sec 28), Sale by Person under Voidable Contract before rescission (Sec 29), Sale by Seller/Buyer in possession after sale (Sec 30).
- Delivery to carrier (Sec 39) is prima facie delivery to buyer unless seller reserves right of disposal.

Q: Explain the doctrine 'Nemo dat quod non habet' and its exceptions.

[Ref: Section 27 to 30, Sale of Goods Act, 1930]

Ans: No one can transfer a better title than he himself possesses (Sec 27). Exceptions: Sale by mercantile agent, sale by joint owner, sale under voidable contract, sale by seller in possession.

Examiner Keywords: [nemo dat quod non habet] [mercantile agent Sec 27] [voidable contract possession] [buyer in possession]

Landmark Case: Cundy v. Lindsay — "Fraudulent buyer obtained no title, so innocent sub-buyer also received no title."

Topic 3.4: Unpaid Seller and Rights

Deep Learning Overview:

Unpaid Seller (Sec 45): Whole price not paid or negotiable instrument dishonoured. Rights against Goods (Sec 46): (1) Right of Lien (Sec 47-49), (2) Right of Stoppage in Transit (Sec 50-52), (3) Right of Resale (Sec 54). Rights against Buyer Personally: Suit for price (Sec 55), Suit for damages (Sec 56), Suit for interest (Sec 61).

Q>Yé Statutory Definition Breakdown:

- **"whole of price not paid Even if partial payment made, seller remains unpaid for balance.**
- **"negotiable instrument Conditional payment fails if cheque or bill bounces.**

&p Statutory Exceptions & Caveats:

- Lien is lost when seller delivers goods to carrier without reserving right of disposal, or buyer lawfully obtains possession, or seller waives lien (Sec 49).
- Stoppage in transit requires buyer insolvency AND goods to be in transit between seller and buyer.

Q: What are the rights of an Unpaid Seller against the Goods under Section 46?

[Ref: Section 46 to 54, Sale of Goods Act, 1930]

Ans: Unpaid seller rights against goods: (1) Right of Lien (possession retained), (2) Right of Stoppage in Transit (buyer insolvent & goods in transit), (3) Right of Resale.

Examiner Keywords: [unpaid seller] [right of lien] [stoppage in transit] [buyer insolvency] [right of resale]

Landmark Case: Lickbarrow v. Mason — "Stoppage in transit defeated if bill of lading endorsed to bona fide buyer for value."

Chapter 4: THE INDIAN PARTNERSHIP ACT, 1932

General nature of partnership, relations of partners to one another & third parties, registration and dissolution of firm.

Topic 4.1: General Nature of Partnership

Deep Learning Overview:

Partnership (Sec 4) is relation between persons who have agreed to share profits of a business carried on by all or any of them acting for all. Essential elements: Agreement, 2+ persons (max 50 under Companies Rules), Business, Sharing of Profits, Mutual Agency. True test of partnership (Cox v. Hickman): Mutual Agency.

Q>Yé Statutory Definition Breakdown:

- **"agreed to share the profits" Essential, though sharing losses is implied unless agreed otherwise.**
- **"carried on by all or any of them acting for all" is both principal and agent for all other partners.**

&p Statutory Exceptions & Caveats:

- Sharing of profits is prima facie evidence but NOT conclusive test. Lenders, widows of deceased partner, or sellers of goodwill receiving profit share are NOT partners.
- Minor cannot be partner but can be admitted to benefits of partnership with consent of all partners (Sec 30).

Q: What is the 'True Test of Partnership' laid down in Cox v. Hickman?

[Ref: Section 4 & Section 6, Indian Partnership Act, 1932]

Ans: Sharing of profits is prima facie evidence of partnership, but NOT conclusive proof. The true test of partnership is MUTUAL AGENCY — whether business is carried on by all or any of them acting for all.

Examiner Keywords: [mutual agency] [prima facie vs conclusive test] [sharing of profits] [Cox v. Hickman principle]

Landmark Case: Cox v. Hickman (1860) — "Creditors receiving profit share to pay off debts do not become partners without mutual agency."

Topic 4.2: Relations of Partners**Deep Learning Overview:**

Relations to one another: Utmost good faith (uberrimae fidei), duty to indemnify firm (Sec 10, 13). Implied Authority of Partner (Sec 18-22): Acts done in usual way of firm business bind firm. Property of firm (Sec 14) includes all property brought into common stock or acquired for firm.

> Statutory Definition Breakdown:

- "done to carry on in the usual and ordinary scope of the firm's line of business."
- "binds the firm and all co-partners become jointly and severally liable to third parties."

&p Statutory Exceptions & Caveats:

- Implied authority does NOT extend to: Submitting dispute to arbitration, opening bank account in partner's own name, compromising firm claim, purchasing immovable property (Sec 19(2)).
- Doctrine of Holding Out (Sec 28): Person representing himself as partner becomes liable to third parties relying on such representation.

Q: What is the Implied Authority of a Partner and what acts are excluded?

[Ref: Section 19 & Section 28, Indian Partnership Act, 1932]

Ans: Act of partner done to carry on business in usual way binds firm (Sec 19(1)). Excluded acts (Sec 19(2)): Submitting dispute to arbitration, opening bank account in partner's name, acquiring immovable property.

Examiner Keywords: [implied authority] [usual course of business] [statutory exclusions Sec 19(2)] [holding out Sec 28]

Landmark Case: Holme v. Hammond — "Partner buying goods customary to firm's business binds all co-partners."

Topic 4.3: Registration and Dissolution of a Firm**Deep Learning Overview:**

Registration (Sec 58-59) is optional but non-registration imposes disabilities under Sec 69: Unregistered firm cannot sue third party, partner cannot sue firm/co-partners, set-off limited to ₹100. Dissolution of Firm (Sec 39): Without court order (Sec 42, notice Sec 43) or by Court order (Sec 44: insanity, permanent incapacity, misconduct, continuous loss).

> Statutory Definition Breakdown:

- "No suit shall be instituted against an unregistered firm or partners from filing civil suits."
- "unless the firm is registered first prior to filing suit."

&p Statutory Exceptions & Caveats:

- Third parties CAN sue an unregistered firm (Sec 69 disabilities apply only to firm/partners suing).
- Non-registration does not affect right of firm to enforce rights under tax laws or criminal proceedings.

Q: What are the legal consequences of Non-Registration of a Partnership Firm?

[Ref: Section 69, Indian Partnership Act, 1932]

Ans: Under Sec 69: (1) Firm cannot sue third party, (2) Partner cannot sue firm/partners, (3) Firm CAN sue unregistered firm.

Examiner Keywords: [disabilities under Sec 69] [no bar on third party suit] [set-off limit Rs 100] [dissolution suit allowed]

Landmark Case: Delhi Motors v. Texas Co — "Suit filed by unregistered firm is void from inception and cannot be validated by subsequent registration."

Chapter 5: THE LIMITED LIABILITY PARTNERSHIP ACT, 2008

Salient features of LLP, body corporate status, limited liability, incorporation, and partner duties.

Topic 5.1: The Limited Liability Partnership Act, 2008

Deep Learning Overview:

LLP is a body corporate and legal entity separate from partners (Sec 3). Features: Perpetual succession, limited liability of partners to agreed contribution, minimum 2 partners, minimum 2 Designated Partners (at least 1 resident in India under Sec 7), LLP Agreement (Sec 23), separate seal optional.

Statutory Definition Breakdown:

- **"body corporate"** — legal personality separate from its individual members.
- **"separate legal entity"** — can hold property, enter contracts, and sue/be sued in its own name.
- **"perpetual succession"** — changes in partners do not affect existence or identity of LLP.

Statutory Exceptions & Caveats:

- Partner liability becomes UNLIMITED in case of acts carried out with intent to defraud creditors or for fraudulent purpose (Sec 30).
- If number of partners falls below 2 for more than 6 months, remaining partner carrying on business becomes personally liable for LLP debts.

Q: What are the salient features of a Limited Liability Partnership (LLP)?

[Ref: Section 3 & Section 7, Limited Liability Partnership Act, 2008]

Ans: A limited liability partnership is a body corporate formed and incorporated under this Act and is a legal entity separate from that of its partners.

Examiner Keywords: [body corporate] [separate legal entity] [perpetual succession] [limited liability] [designated partners Sec 7]

Landmark Case: Salomon doctrine extension to LLP — "LLP possesses distinct corporate personality separate from partners."

Chapter 6: THE COMPANIES ACT, 2013

Corporate veil, company types, Memorandum & Articles of Association, doctrines of ultra vires & indoor management.

Topic 6.1: The Companies Act, 2013

Deep Learning Overview:

Company under Sec 2(20) is incorporated under Companies Act. Corporate Veil (Salomon v. Salomon): Company is distinct legal person. Types: OPC (Sec 2(62)), Private Co (Sec 2(68): max 200 members, transfer restriction), Public Co (Sec 2(71): min 7 members, no transfer restriction), Small Co (Sec 2(85)). MOA & AOA. Doctrines: Ultra Vires (beyond objects clause), Indoor Management (Royal British Bank v. Turquand).

Statutory Definition Breakdown:

- **"incorporated under this Act"** — requiring registration with Registrar of Companies (ROC).
- **"previous companies"** — include companies registered under Companies Act 1956 or earlier Acts.

Statutory Exceptions & Caveats:

- Lifting of Corporate Veil: Courts pierce veil in cases of tax evasion (Dinshaw Maneckjee Petit), fraud, sham companies (Gilford Motor Co v. Horne), or enemy character (Daimler Co Ltd).
- Doctrine of Indoor Management does NOT protect outsiders having actual knowledge of irregularity, or cases of forgery, or negligence.

Q: What is the Doctrine of 'Ultra Vires' under the Companies Act, 2013?

[Ref: Section 4 & Section 245, Companies Act, 2013]

Ans: Acts done by a company beyond the powers specified in the Objects Clause of its Memorandum of Association (MOA) are 'Ultra Vires' (beyond powers). Such acts are null and void ab initio.

Examiner Keywords: [ultra vires] [beyond objects clause] [void ab initio] [no ratification by shareholders]

Landmark Case: Ashbury Railway Carriage & Iron Co. v. Riche (1875) — "Contract beyond MOA objects clause is completely void and incapable of ratification."

Chapter 7: THE NEGOTIABLE INSTRUMENTS ACT, 1881

Promissory notes, bills of exchange, cheques, negotiation, endorsement, holder in due course, and dishonour under Sec 138.

Topic 7.1: The Negotiable Instruments Act, 1881

Deep Learning Overview:

Negotiable Instrument (Sec 13): Promissory Note (Sec 4: unconditional undertaking to pay), Bill of Exchange (Sec 5: unconditional order to pay), Cheque (Sec 6: bill drawn on specified banker). Holder in Due Course (HDC, Sec 9): Takes for consideration, before maturity, in good faith without notice of defect (gets title free from prior defects). Dishonour of Cheque (Sec 138): Criminal offence for insufficiency of funds.

Statutory Definition Breakdown:

- "promissory note, bill of exchange or cheque" — the three negotiable instruments recognized under the Act.
- "payable to order or to bearer" — transferable by endorsement & delivery (order) or simple delivery (bearer).

Statutory Exceptions & Caveats:

- Section 138 Offence Requirements: Cheque presented within validity (3 months), statutory notice issued within 30 days of dishonour, drawer fails to pay within 15 days of notice.
- Forged endorsement passes NO title under Sec 58 (forgery is a complete nullity).

Q: What are the essential elements and penalties for Dishonour of Cheque under Section 138?

[Ref: Section 138 to 142, Negotiable Instruments Act, 1881]

Ans: Where any cheque drawn by a person on an account maintained by him is returned by the bank unpaid owing to insufficiency of funds, such person shall be deemed to have committed an offence.

Examiner Keywords: [Section 138 dishonour] [insufficiency of funds] [30 days demand notice] [15 days grace period] [imprisonment up to 2 years]

Landmark Case: K. Bhaskaran v. Sankaran Vaidhyan Balan — "Supreme Court clarified 5 components required to establish offence under Section 138."

WORKED ICAI EXAM QUESTION BLUEPRINTS (4-STEP METHOD)

• Chinnaya v. Ramayya — Stranger to Consideration (6 Marks)

Question: "An old lady transferred her whole property to her daughter by a deed of gift, with a direction that the daughter should pay an annuity to the lady's brother. On the same day, the daughter executed a promise in writing in favor of her uncle to pay the annuity. Subsequently, the daughter declined to pay on the ground that no consideration had moved from her uncle. Can the uncle recover the annuity from the daughter?"

1. PROVISION / LAW APPLICABLE: Under Section 2(d) of the Indian Contract Act, 1872, consideration may move from the promisee OR ANY OTHER PERSON. Consideration need not move from the promisee alone. A stranger to consideration can enforce a contract (Chinnaya v. Ramayya, 1882).
2. FACTS OF THE CASE: The mother transferred property to the daughter on the condition that the daughter pays an annuity to the uncle. The daughter agreed in writing, but later refused to pay citing lack of direct consideration from the uncle.
3. ANALYSIS & APPLICATION: In this case, consideration for the daughter's promise to pay annuity to her uncle was provided by her mother in the form of property transfer. Since consideration can legally move from a third party ('any other person'), the daughter is legally bound to fulfill her promise.
4. CONCLUSION: Yes, the uncle is entitled to recover the annuity from the daughter under Section 2(d).

• Unpaid Seller Right of Stoppage in Transit (6 Marks)

Question: "A sold 50 bales of cotton to B and delivered them to Indian Railways for transport to B. While goods were in transit, B became insolvent. A notified Indian Railways to stop delivery. In the meantime, B transferred the bill of lading to C for value who took it in good faith. Can A exercise right of stoppage in transit against C?"

1. PROVISION / LAW APPLICABLE: Under Section 50 & 53 of Sale of Goods Act 1930, unpaid seller has right of stoppage in transit upon buyer's insolvency. However, under Sec 53(1), if document of title (Bill of Lading) has been lawfully transferred to a bona fide transferee for value, unpaid seller's right of stoppage is defeated (Lickbarrow v. Mason).
2. FACTS OF THE CASE: Goods were in transit with Railways. Buyer B became insolvent. Unpaid seller A issued stoppage notice. However, B endorsed Bill of Lading to C for value in good faith.
3. ANALYSIS & APPLICATION: C is a bona fide pledgee/transferee for value without notice of B's insolvency. Under Sec 53, such transfer overrides and defeats the unpaid seller's right of stoppage in transit.

4. CONCLUSION: No, A cannot exercise right of stoppage in transit against C.